Uber and the economy

Hi everyone, and welcome to this eighteenth episode of the Cottongue Podcast.

[00:00:15] What's new since last week? Is everything well where you are? I hope so, and that you have time for French even during the holidays.

[00:00:28] If you're listening now, that means you have some free time. I'm very happy you're using it to listen to my podcast. Helping you improve your French comprehension gives me great pleasure. Remember that transcripts of all my podcasts are on innerfrench.com. You just need to register to access them, and it's completely free.

[00:01:05] I think it's good to listen once without the transcript, to see what you can understand, then a second time with it if there are things you don't understand. You can also use it to work on pronunciation, to practise pronouncing words properly.

[00:01:36] I also remind you there's an InnerFrench Facebook page where I share many interesting things about French culture, films, music and so on. If you're looking for inspiration, visit my Facebook page. I'm sure you'll find things you like!

[00:02:03] For now, though, let's move on to today's subject.

[00:02:09] I imagine you all know Uber. Yes, the American company that transformed the taxi market. "To transform" here means completely changing something, radically modifying it. Yes, it's American, but we pronounce its name the French way, "Uber", rather than "Uber". I know our English-speaking friends find that very funny.

[00:02:47] Personally, I began using Uber a few years ago. Initially, I thought it was fantastic! I hadn't often taken taxis before, but Uber made it so easy that I used it more and more.

[00:03:07] Sometimes I like talking to drivers, the people driving the cars, because they often have good stories. I also wanted to know whether they were happy working for Uber rather than a traditional taxi company. I learned quite surprising things about working conditions. Around then, the media began discussing Uber, its economic model and its sometimes unlawful behaviour extensively. I read quite a lot about its business model and practices, and decided to stop using the application.

[00:04:04] Want to know why? Stay where you are. I'll tell you later in this podcast.

[00:04:20] First, we'll return to Uber's origins, its creation. The company was founded in 2009. Its founders had the idea of a private-driver service because they noticed taxi shortages in many cities, including Paris and San Francisco. Sometimes you had to wait a long time to find an available taxi. During major events, concerts or conferences, it could even be impossible.

[00:05:09] But the truly clever idea was that the founders didn't create a traditional company with their own drivers. Instead, they created an application.

[00:05:28] I imagine you've probably used it. It works as a platform matching demand, a customer seeking a taxi, with supply, an available driver nearby. It's very effective because

many drivers are available. In other words, customers don’t wait long and prices are quite low.

[00:06:03] This idea became possible because all the conditions were in place, particularly technological ones. For a company like Uber to work, everyone needed a smartphone. Without one, using the application, and therefore Uber’s service, was impossible.

[00:06:32] Smartphones, the internet and GPS make all resources accessible permanently and in real time. The platform knows how many potential customers and available drivers there are. It can adjust prices immediately, either to attract new customers or motivate drivers to work.

[00:07:03] Uber then earns money through commissions, taking a percentage of every taxi ride, every transaction. I believe this commission is about 25%. When you take Uber, 25% goes to the company and the rest to the driver. But I’ve read its actual total commission is even higher.

[00:07:42] Uber spends its earnings mainly on marketing and advertising, but also developing other services, such as food delivery. Since it doesn’t employ its drivers, of course its costs are lower!

[00:08:05] Uber’s arrival had positive effects. Previously, taxis didn’t really have applications. You called a telephone number to order one. Now all taxi companies have an application resembling Uber’s, much more convenient! When ordering, we know roughly what the ride will cost, what we’ll pay. We can follow the route on a map, so drivers can no longer scam customers! “To scam” means abusing someone’s trust to take their money. For example, emails sometimes say you’ve won money and must supply bank details to receive it. That’s a scam! Previously, some drivers, a minority of course, took longer routes to charge more. Now that’s impossible because applications choose the best route and drivers must follow it. Paying is also easier: our bank card is stored in the application, making payment automatic. We don’t need cash on us.

[00:10:03] Some people also find Uber drivers nicer and more polite than normal taxi drivers, particularly in Paris! Parisian taxi drivers had a bad reputation: people called them rude. Facing Uber’s competition, some began changing their attitude to be kinder and more professional.

[00:10:35] In other words, Uber pushed other companies to innovate and improve service.

[00:10:46] Another positive effect concerns availability. Now it’s very rare not to find a taxi or to wait long. In Paris a few weeks ago, I really saw the difference. Previously, evenings sometimes meant waiting ten or fifteen minutes. Now we never wait more than three to five minutes, even late at night.

[00:11:25] Uber benefits not only consumers but the economy, because it enlarged the market. Lower prices brought new taxi users, people who previously never took taxis, rather like me. That’s good for the sector because there are more customers.

[00:11:57] On the other hand, perhaps these new customers previously used public transport. That’s bad for the environment. Taking taxis instead creates more pollution.

[00:12:18] Finally, some economists say Uber reduced unemployment, meaning fewer people are seeking work. In France's suburbs, difficult neighbourhoods with considerable poverty, young people can't find jobs. Unemployment there is high. Uber lets them become drivers and earn money. They just need a driving licence, smartphone and car, not qualifications or experience. So it's easier for them.

[00:13:12] You now understand Uber transformed taxis by inventing a new business model allowing everyone to become a driver. This model and application greatly reduced prices. And falling prices make consumers happy.

[00:13:38] But behind these lower prices lie many negative consequences. "Des tas de" means "lots of", "many". For example, "I have lots of problems right now", or "There are lots of good films at the cinema".

[00:13:58] These consequences concern not only traditional taxi companies, but all of us. Perhaps you don't work for a taxi company or even take taxis, but Uber's development can affect you too. Why? Because its business model is spreading throughout the economy, across every sector: hotels with Airbnb, food delivery, banking, even lawyers. Perhaps your company will soon face new competitors too. Or your director may ask you to accept the same working conditions as Uber drivers to remain competitive.

[00:15:07] Now we'll discuss this phenomenon called the "uberisation" of the economy and see concretely how this new model can change working life.

[00:15:28] Working for Uber, you're free to choose how many hours and when. It's quite flexible and offers drivers some independence. Advertisements say drivers can earn a good living. "To earn a living" means earning money through work. In reality, however, it's another story. Let's listen to an interview with an Uber driver from Nice to hear his thoughts on working conditions.

[00:16:36] First, he explains he must work a lot to be profitable. "Profitable" means making a profit. That's difficult because he must rent his car. Renting means paying to use something, like a car or flat, without buying it.

[00:17:03] Every month, he must pay €1,100 to rent a car. He has many other expenses, including fuel and cleaning. Earning enough requires lots of work. To earn more, you must work when fewer drivers are available, for example late at night, rather than when convenient for you.

[00:17:39] Some drivers work three days without sleeping to earn money. Imagine the safety implications! These situations are very dangerous for drivers and passengers alike.

[00:17:57] Things are also becoming harder because competition keeps increasing: more drivers, more Uber-like companies. Naturally, that pushes prices, and therefore drivers' earnings, even lower.

[00:18:30] The second driver discusses dependence on the platform. It sets fares, meaning ride prices, assigns drivers to customers' requests and so on. Uber wants people to believe drivers are independent, but ultimately they aren't at all! There isn't really freedom or flexibility.

[00:19:06] In theory, offering work to people who can’t find it is good. But it also seems Uber exploits their difficulties, like those of young people in deprived suburbs, to dictate conditions. These people are ready to work below minimum wage because they have no alternative.

[00:19:42] Uber’s great strength, its advantage, is low prices. Entering a new market, it slashes prices.

[00:19:55] But do you know how it can charge so little? Why are Uber taxis cheaper than traditional ones?

[00:20:07] The first reason is that, for now, it doesn’t need to earn money to survive. Strange, a company not needing to earn money, isn’t it? After seven years losing money, Uber should close! But no, because many investors support it: other companies buying part of its capital and helping finance it. For now, making money isn’t their priority. Attracting customers, expanding the market and killing competition are. More Uber customers make life harder for competitors. They don’t have as much money and can’t afford years of losses. If Uber eliminates them, it will be alone and can set whatever prices it wants. That’s why it initially offers very low prices in some countries, a very aggressive strategy. Once competitors disappear, it raises prices.

[00:21:44] That’s the second problem. A market with only one company is called a monopoly. Under monopoly, consumers always lose. Low prices require lots of competition. So beware: if Uber ends up alone, our wallets will suffer!

[00:22:14] The second reason is that Uber is large enough to practise tax optimisation. This means paying as little tax as possible by declaring income in certain countries. Its strategy often lets it pay very little tax in countries where it operates. Naturally, that’s bad for those economies.

[00:22:49] The last reason, already mentioned, is drivers aren’t Uber employees but self-employed workers. Remember, Uber is merely a platform connecting supply and demand, not a traditional taxi company.

[00:23:14] Consequently, Uber doesn’t have to pay social contributions: money companies must give the state for employees. These fund social protection, protecting people against major risks. Concretely, they finance healthcare, pensions for older people no longer working, assistance for unemployed people and families with many children.

[00:24:01] Here we see a problem. If Uber pays no social contributions, the state loses money it could use to protect and help us.

[00:24:16] Another problem: some drivers have requested recognition as company employees rather than self-employed workers. They have many arguments. First, most work only for Uber, with no time for others. Next, they must respect its rules, including service and application rules. They aren’t truly independent and believe Uber should offer social protection like a normal company does for employees.

[00:25:08] Of course, Uber refuses because it would cost too much and its business model would no longer work. The model requires drivers to be considered self-employed, not salaried company employees.

[00:25:33] To me, that's Uber's real danger: this business model spreading to other companies and sectors. If it becomes normal, workers will no longer have social protection and must pay for it themselves. I believe that's rather accepted in the United States, but not Europe. Most European states play a role protecting workers. They set general rules companies must respect, called employment law. With such a model, we'd lose much of our social protection.

[00:26:34] We'd also enter an economy where all workers compete directly. With so much competition, work often goes to whoever accepts the lowest pay, because customers don't want to pay much. Sometimes they consider quality too, but price often comes first. To obtain work, we'd have to offer the lowest price. Uberisation therefore means declining wages and worsening working conditions.

[00:27:36] For all these reasons, I stopped using Uber. I think it disrespects those working for it and the law. I prefer paying slightly more for a normal taxi whose company pays taxes locally, rather than Uber, which abuses the system.

[00:28:10] That's all for today. Thank you for listening to the end. I hope this wasn't too technical and you learned interesting things. If it was too complicated or you didn't understand something, email hugo@innerfrench.com. I'll be very happy to help.

[00:28:41] Next time, we'll discuss health and pleasure, particularly whether we can be healthy without giving up every pleasure.

[00:28:57] Until then, enjoy the weekend. See you next Thursday. Bye!